

Lease Variations

Leases generally fall into two categories-gross or net-based on who pays the nets and whether or not they are separate or consolidated into the base rent. But there are variations of these leases, which are based on how the base rent and services are handled.

Full Service Leases

Full service leases, referred to as FS, are leases in which the base rent, the nets, utilities, and janitorial services are included in one lease rate, based on price per square foot. Don't confuse this with a NNN lease, where the tenant pays these charges separately. By including charges for these in the base rent, the base rent remains stable over time. This would be considered a gross lease.

Fixed Lease

A fixed lease, sometimes known as a flat lease, is a lease where the base rent is kept the same for the duration of the lease.

Graduated and Escalated Leases

With both of these types of leases, the base rent increases at certain points during the term of the lease.

The rent in a **graduated lease** has scheduled increases that are set to take place throughout the term of the lease at predetermined intervals (e.g., annually). Eventually, this graduates the lease to a higher rate. This type of lease may appeal to a business owner just starting out, anticipating that business income will rise over time.

In an **escalated lease**, the lessee pays a base rent, but the rent increases or decreases to correspond with a change in the landlord's cost of ownership (i.e., taxes, insurance, and maintenance). The terms for the escalation should be defined in the lease.

Index Lease

An index lease, sometimes known as a variable lease, is a lease in which the lease payments change at pre-determined intervals according to changes in an economic index (such as the Consumer Price Index, Government Cost of Living Index, or some other index agreed upon by the parties to the lease).

Reappraisal Lease

In the case of a reappraisal lease, appraisals take place at pre-determined intervals-typically every three-to-five years-and the rent is adjusted according to an agreed upon percentage of the prior rent.

Percentage Lease

A percentage lease is more commonly used with retail properties, such as shopping centers and malls. With a percentage lease, the tenant pays a base rent plus an additional charge that's a percentage of the tenant's gross sales. Often the percentage will be set to enable the retailer to reach a natural break-even point, and gradually stepped up as the retailer's business grows.

Ground Lease

This is a type of lease in which the tenant leases property upon which the tenant intends to build. The lease term is designed to be long enough for the tenant to recoup the investment for the outlay of cash to build the building. When the lease expires, the improvement belongs to the landowner. Generally a net lease is used: The tenant pays rent plus taxes, insurance, and maintenance (plus repairs). A net ground lease typically has a term of just less than 50 years.

Oil and Gas Lease

Under these special lease agreements, the landowner receives a cash payment for executing the lease. The lease typically gives the oil or gas company time to determine whether oil or gas exist on the property and sets a deadline by which drilling must begin. If the option to drill isn't exercised within the stated time frame, the lease expires. If it is exercised, the landowner generally receives royalties on the oil or gas extracted.

Sale and Leaseback

Sale and leaseback arrangements are common in situations where a commercial building owner needs capital but wants to remain in the building. The building owner will sell the building to an investor and lease it back. In that way, the original building owner can recoup 100% of the current equity in the building without having to move business locations.